Temporary

2954

Executive Order

AN EXECUTIVE ORDER CANCELLING SALE OF FROEHLICH AND KUTTNER MADE TO COMPANIA MERCANTIL DE FILIPINAS BY THE ALIEN PROPERTY CUSTODIAN'S REPRESENTATIVE PURSUANT TO THE "TRADING WITH THE ENEMY ACT" AND AMENDMENTS THEREOF

By virtue of the authority vested in me by "An Act to define, regulate and punish trading with the enemy, and for other purposes", approved October 6, 1917, known as the "Trading with the enemy Act", and the amendments thereto embodied in "An Act making appropriations to supply urgent deficiencies in appropriations for the fiscal year ending June 30, 1918, and prior fiscal years, on account of war expenses, and for other purposes", approved March 28th, 1918, and all other powers and authorities me hereto enabling, I hereby, in the public interest, make the following determination and order:

WHEREAS, A. Mitchell Palmer, Alien Property Custodian, has reported to me that a certain property known as Froehlich & Kuttner, was offered for sale at Manila, in the Philippines, by Francis Burton Harrison, the Custodian's representative in the Philippines, on May 1st, 1918, and the said property was bid in by Compania Mercantil de Filipinas, on May 10th, 1918, and that the said sale was not advertised or conducted in accordance with rules and regulations prescribed by me, as required by the said "Trading with the enemy Act", as amended, nor in accordance with the instructions and policies of A. Mitchell Palmer, Alien Property Custodian, and that he has therefore disapproved the said sale;

NOW, THEREFORE, I hereby declare the said sale to be void and of no effect, and I hereby authorize and direct the Alien Property Custodian to reject all bids received at the said sale, including the bid of the said Compania Mercantil de Filipinas.

My reasons for the foregoing determination and order are:

(1) That by the powers granted me under said Act of Congress, and by the Executive Order issued by me on October 12th, 1917, to the War Trade Board; and by the license granted by the said War Trade Board, the firm of Froehlich and Kuttner should have been liquidated under said license and by the party designated in said license, and not sold by the Alien Property Custodian's representative.

(2) That, even if the Alien Property Custodian's representative had had the power to sell and liquidate said firm, that not sufficient notice or adequate opportunity was granted to purchasers to inform and prepare themselves to bid.

(3) The exclusion of the public from the sale, which deprived it of the public character required by the aforesaid Act of Congress as amended.

(4) The advertised conditions of the sale excluded American corporations who are legally entitled to bid, and contained several objectionable details.

(5) The sale was not made under the rules and regulations prescribed by me and as required by said Act as amended, and not in accordance with the instructions and policies of the Alien Property Custodian.

WOODROW WILSON

THE WHITE HOUSE,
13 September, 1918.

[No. 2954.]